(b) Public Sector Undertakings are the wealth of the Nation and this wealth should rest in the hands of the people, and

(c) While pursuing disinvestment, Government has to retain majority shareholding, i.e. at least 51% and management control of the PSUs.

The ***action plan*** for disinvestment in profit making government companies is:

(i) Already listed profitable PUSs (not meeting mandatory shareholding of 10%) are to be made compliant by 'Offer for Sale' by Government or by the PSUs through issue of fresh shares or a combination of both;

(ii) Unlisted PSUs with no accumulated losses and having earned net profit in three preceding consecutive years are to be listed;

(iii) Follow-on public offers would be considered taking into consideration the needs for capital investment of PSUs, on a case by case basis, and Government could simultaneously or independently offer a portion of its equity shareholding;

(iv) In all cases of disinvestment, the Government would retain at least 51% equity and the management control;

(v) All cases of disinvestment are to be decided on a case by case basis; and

(vi) The Department of Disinvestment is to identify PSUs in consultation with respective administrative Ministries and submit proposal to Government in cases requiring Offer for Sale of Government equity.

Proceeds of Disinvestment: Debate Concerning the Use

In the very next year of disinvestment, there started a debate in the country concerning the suitable use of the proceeds of disinvestment (i.e. the accruing to the government out of the sale of the shares in the PSUs). The debate has by now evolved to a certain stage coming off basically in three phases:

Phase I: This phase could be considered from 1991–2000 in which whatever money the Governments received out of disinvestment were used